

Time (in months)	Tender A (Amount in millions)	Present Value of Tender A cash outflows	Tender B (Amount in millions)	Present Value of Tender B cash outflows
0	5	5	2.5	2.5
6	5	4.734176017	10	9.468352033
12	5	4.645683386	15	13.44745353
18	5	4.244174134	5	4.244174134
24	5	4.018533479	5	4.018533479
30	5	3.804888964		
36	5	3.602602816	5	3.602602816
42	5	3.411071169		
48	5	3.229722264	7.5	4.844583396
54	5	3.058014737		
60				
	PV of all Cash outflows for tender A	39.74886696	PV of all Cash outflows for tender B	42.12569939
Net Benefits of the project (in millions)	80	46.32697608	80	51.67555623
	NPV for tender A	6.578109116	NPV for tender B	9.549856836
Since NPV for tender B > tender A, Tender B must be preferred				